capitalist system. Marx was certain that the revolution would start in countries that spearheaded the Industrial Revolution – such as Britain, France and the USA – and spread to the rest of the world.

Marx forgot that capitalists know how to read. At first only a handful of disciples took Marx seriously and read his writings. But as these socialist firebrands gained adherents and power, the capitalists became alarmed. They too perused *Das Kapital*, adopting many of the tools and insights of Marxist analysis. In the twentieth century everybody from street urchins to presidents embraced a Marxist approach to economics and history. Even diehard capitalists who vehemently resisted the Marxist prognosis still made use of the Marxist diagnosis. When the CIA analysed the situation in Vietnam or Chile in the 1960s, it divided society into classes. When Nixon or Thatcher looked at the globe, they asked themselves who controls the vital means of production. From 1989 to 1991 George Bush oversaw the demise of the Evil Empire of communism, only to be defeated in the 1992 elections by Bill Clinton. Clinton's winning campaign strategy was summarised in the motto: 'It's the economy, stupid.' Marx could not have said it better.

As people adopted the Marxist diagnosis, they changed their behaviour accordingly. Capitalists in countries such as Britain and France strove to better the lot of the workers, strengthen their national consciousness and integrate them into the political system. Consequently when workers began voting in elections and Labour gained power in one country after another, the capitalists could still sleep soundly in their beds. As a result, Marx's predictions came to naught. Communist revolutions never engulfed the leading industrial powers such as Britain, France and the USA, and the dictatorship of the proletariat was consigned to the dustbin of history.

This is the paradox of historical knowledge. Knowledge that does not change behaviour is useless. But knowledge that changes behaviour quickly loses its relevance. The more data we have and the better we understand history, the faster history alters its course, and the faster our knowledge becomes outdated.

Centuries ago human knowledge increased slowly, so politics and economics changed at a leisurely pace too. Today our